A Internship report on

"A STUDY OF LOAN PROCESSING AND CUSTOMER RELATIONSHIP MANAGEMENT AT SMS FINANCIAL SERVICES" UDUPI

Internship Report Submitted to Department of Management, Kuvempu University

In partial fulfillment of requirement for the award of

Bachelor of Business Administration (BBA)

Submitted by: PRATHIKSHA S

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Under the Guidance of

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2025-26

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Prof. DHANANJAYA **MA., Ph.D**

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CERTIFICATE

This is to certify that **Prathiksha S** bearing UUCMS No.**U06G4230016**is a bonafide student of the Department of Management, Government First Grade College, Narasimharajapura during the academic year 2023-24. Internship report on **"A STUDY ON LOAN PROCESSING AND CUSTOMER RELATIONSHIP MANAGEMENT AT SMS FINANCIAL SERVICES, UDUPI"** has been prepared by her in partial fulfillment for the award of Bachelorof Business Administartion (BBA),under the guidance **Mr. SATHISHA V,** Assistant Professor, Department of Management, Government First Grade College Narasimharajapura, Kuvempu University.

Date: **Prof. DHANANJAYA**

Place: NARASIMHARAJAPURA

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DECLARATION

I do hereby declare that the Internship work entitled **"A STUDY ON LOAN PROCESSING AND CUSTOMER RELATIONSHIP MANAGEMENT AT SMS FINANCIAL SERVICES, UDUPI"**has been carried out by me during the academic year 2023-24, for the partial fulfillment of the requirement for the program of Bachelor of Business Administration (BBA), Kuvempu University, under the guidance of **Mr. SATHISHA V,** Assistant Professor, Department of Management, Government First Grade College, Narasimharajapura.

I further declare that this work has not been previously submitted by others or me for any purpose either in this university or any other university.

Date:

Place: NARASIMHARAJAPURA **Prathiksha S**

ACKNOWLEDGEMENT

Motivation causing people to act in certain direction is very necessary for the success of any task. Internship report **"A STUDY ON LOAN PROCESSING AND CUSTOMER RELATIONSHIP MANAGEMENT AT SMS FINANCIAL SERVICES, UDUPI"** on I feel happy and proud to mention those who motivated me and contributed directly or indirectly in making this internship successful.

I take this opportunity to express my sincere thanks to **Prof. DHANANJAYA,**

Principal, GFGC Narasimharajapura, Chikkamagaluru.

My sincere thanks to **Mr. SATHISHA V,** Head of the Department & Assistant Professor, Department of Management, GFGC Narasimharajapura, Chikkamagaluru, my guide for her valuable guidance and constant encouragement throughout the study.

I would like to offer my whole hearted gratitude to all faculty members of Department of Management, GFGC Narasimharajapura, Chikkamagaluru for being supportive throughout the study.

I thank all my friends and family who directly or indirectly helped me in completion of this work.

Date: **Prathiksha S**

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CHAPTER -1

INTRODUCTION

1. **Introduction**

Loan acquisition and financial performance for Sri Manjunatha Swami Financial Services, Udupi

SMS Financial Services is a financial consultancy and loan services provider based in Udupi,

Karnataka, India. Established in 2002 at Mythri Complex (near the Udupi city bus stand) by a team of dedicated professionals, the firm has grown from a small local office into a reputable financial services firm with extensive experience in assisting individuals and businesses with their financial needs.

2. **Overview of the financial,**

- Founded: 2002 in Udupi, Karnataka.
- Type of Business: Financial consultancy and loan facilitation agency.
- Head Office: No 11, 3rd Floor, Mythri Complex, near Service Bus Stand, Udupi – 576101, Karnataka.
- Core Focus: Helping clients access financial solutions from banks and other financial institutions.

What They Do

SMS Financial Services acts as an intermediary between clients and various banks/NBFCs (Non-Banking Financial Companies), helping people secure appropriate financing and financial solutions. They offer a range of services tailored to individual and business financial needs.

Key Services

Their offerings typically include:

Home Loans – Assistance with mortgage or housing finance.

Business Loans & MSME Funding – Support for entrepreneurs and businesses with working capital or expansion financing.

Personal & Professional Loans – Help individuals or professionals secure tailored personal loans.

Vehicle & Equipment Loans – Help with financing commercial or personal vehicles.

Balance Transfers & Loan Optimization – Assistance in shifting existing loans to better terms.

Credit & Financial Guidance – Advice on choosing the right loan products and financial planning.

Approach & Values

SMS Financial Services emphasizes personalized support, guiding clients through the entire loan process — from initial inquiry and documentation to application and disbursement. They focus on ethical practices, transparency, and customized financial strategies to meet unique client goals.

Client Base

Their services are suitable for:

Individuals

Professionals

Small & Medium Enterprises (MSMEs)

Corporate entities

In essence, SMS Financial Services aims to serve as a one-stop financial solution partner in Udupi, helping people and businesses navigate borrowing options and grow financial.

Sector,

I. Banks

SMS Financial Services works closely with banks to arrange different types of loans and financial products for customers.

Examples of banks in Udupi:

- State Bank of India
- Canara Bank
- Axis Bank
- South Indian Bank

These banks provide personal, business, home, and vehicle loans through financial service intermediaries like SMS Financial Services.

II. Non-Banking Financial Companies (NBFCs)

NBFCs provide loans and financial services similar to banks but operate under different regulations.

SMS Financial Services coordinates with NBFCs for quick loan processing and flexible loan options.

III. Microfinance Institutions (MFIs)

These institutions provide small loans to low-income individuals and small business owners.

They mainly focus on rural and semi-urban customers.

IV. Chit Fund

Chit funds are traditional savings and borrowing systems where members contribute monthly and receive lump sum amounts through auction or rotation.

3. Concept of Loans

A loan is a financial arrangement in which a lender provides money to a borrower with the agreement that the amount will be repaid over a specified period along with interest.

Loans help individuals and businesses meet financial needs such as education, home purchase, business expansion, vehicle purchase, or personal expenses.

V. Personal loans

An unsecured loan designed to meet individual financial needs without requiring collateral.

No security or assets required

- Can be used for weddings, travel, medical expenses, home renovation, debt consolidation, etc.
- Flexible repayment tenure
- Quick processing (subject to eligibility)

VI. Business Loans

A loan provided to support business activities, expansion, or working capital needs.

- Used for business growth, inventory purchase, equipment, cash flow, etc.
- Available for new and existing businesses
- Secured and unsecured options
- Structured repayment plans.

VII. Education Loans

A loan that helps students finance higher education in India or abroad.

- Covers tuition fees, books, accommodation, travel, etc.
- Repayment typically starts after course completion
- Attractive interest rates
- May require co-applicant / collateral depending on amount

VIII. <u>Vehicle Loans</u>

A loan to purchase a new or used vehicle for personal or commercial use.

- Available for cars, bikes, commercial vehicles
- Vehicle itself usually acts as security
- Flexible EMI options
- Competitive interest rates

4. Chit Funds Scheme

A chit fund is a group savings and credit scheme common in India where a group of people pool money together regularly and take turns receiving the pooled amount. This system works as both a saving plan and a borrowing option for members.

SMS Financial Services offers “Chit Fund Services (₹1 Lakh – ₹25 Lakh chit groups)” as one of their services.

A chit fund is a rotating savings and credit scheme widely practiced in India where a group of members contributes a fixed amount every month into a common pool. Each month, one member receives the pooled amount, typically decided through an auction or draw.

Important Safety Notes

- Chit funds should be registered and compliant with the Chit Funds Act, 1982 or applicable state regulations.
- Always confirm legal registration and terms before joining a chit fund, as unregistered or informal ones may carry risks.

- Work with reputable intermediaries and ask for copies of registration and documentation.

5. **CIBIL Score**

SMS Financial Services provides specialized CIBIL score solutions as part of their financial services portfolio — helping individuals and businesses strengthen their credit health and improve their ability to access loans and credit products.

<u>What CIBIL Solutions Means</u>

"CIBIL Solutions" refers to services aimed at understanding, maintaining, and improving your credit score or credit profile so you can qualify for loans or other credits at better terms.

SMS Financial Services acts as a financial intermediary and adviser — they help guide and support your credit health management, but the actual credit reports and scores come from official credit bureaus (like TransUnion CIBIL) and not from SMS Financial Services themselves.

<u>Why Improving Your CIBIL Score Matters</u>

A better CIBIL score (typically 750+) can help you:

- Get loans (personal, home, vehicle, business, education) faster
- Secure lower interest rates
- Access higher credit limits
- Improve approval chances with banks/NBFCs

This makes CIBIL score solutions an important part of financial planning — especially if you're applying for a loan soon.

<u>Why It Works in Practice</u>

- Initial Review: They look at your current credit score and report.

- Identify Issues: Highlight things dragging your score down.
- Advice & Plan: Provide steps to fix errors and improve behavior.
- Follow-up: Support with monitoring progress and next steps.

IX. Payment History

SMS Financial Services (Udupi, Karnataka) helps individuals and businesses with financial planning, loans, CIBIL score guidance, and related services. One important part of this assistance is payment history — especially how it affects your creditworthiness and loan approval.
Here's a clear, easy explanation of what payment history means and how SMS Financial Services helps you with it:

What Is Payment History?

Payment history is a record of how consistently and promptly you've paid your past and current debts — such as loans, credit cards, EMIs (Equated Monthly Installments), etc.

X. Credit Utilization

SMS Financial Services, Udupi would discuss it — especially when helping clients understand and improve their credit profiles (e.g., for CIBIL score and loan eligibility)
Credit Utilization (or credit utilization ratio) is the percentage of your available credit that you are currently using.
It shows lenders how much of your borrowed money you've used — and whether you are managing your credit responsibly.

XI. Duration of Credit History

Duration of Credit History refers to how long you have been using credit (loans, credit cards, overdrafts, etc.).
It includes:

- Age of your oldest credit account

- Age of your newest credit account
- Average age of all accounts

This factor plays an important role in your credit score (CIBIL score).

How SMS Financial Services (Udupi) Helps

When assisting clients with CIBIL score solutions & loan eligibility, SMS Financial Services typically provides:

- Credit History Review
  - ✓ Analyze age of accounts
  - ✓ Identify issues affecting score

- Guidance for Building Strong History
  - ✓ Keep old accounts active
  - ✓ Avoid unnecessary closures

- Loan Planning Support

If your credit history is short, they may suggest:

- Suitable lenders
- Alternative financial strategies
- Credit-building steps

XII. <u>Recent Credit Active</u>

Recent Credit Activities refers to your recent borrowing and credit actions — such as

- ✓ New loan or credit card applications
- ✓ New accounts opened

These activities are tracked by credit bureaus and reflected in your credit report (like your CIBIL report)

CHAPTER-2

INDUSTRIAL PROFILE

Industry Type: Financial Services & Consultancy

Sector: Non-bank financial intermediary and advisory services

Key Functions:

- Financial consulting and planning
- Loan facilitation and credit advisory
- Intermediary between clients and banks/NBFCs
- Custom financial solutions including loans, insurance, investments, etc.

NATURE OF BUSINESS

- Industry: Financial Services & Consultancy
- Business Type: Financial intermediary / loan facilitation agency
- Core Role: Acts as a financial agent connecting clients with banks, NBFCs (Non-Bank Financial Companies), and other lenders to secure funding and financial solutions.

1. History of The Agency

- Establishment (2002) SMS Financial Services was founded in 2002 in Udupi, Karnataka, beginning operations in a small 125 square feet office at Mythri Complex near the service bus stand. It was started by a dynamic founding team with the goal of providing financial services, loan facilitation, insurance, mutual funds, and investment solutions to individuals and businesses in the region.
- Early Role as Direct Marketing Associate (DMA)
- In the initial years, SMS Financial Services began as a Direct Marketing Associate (DMA). Its exclusive early partnership was with ICICI, one of India’s major banks, through which it marketed financial products and loan services. This partnership continued until 2009.
- Expansion and Diversification (Post-2009)

- Following the global economic downturn in 2008–2009, the company expanded beyond a single partnership. It developed multiple DMA tie-ups with banks and NBFCs (Non-Bank Financial Companies). Over time, it built relationships with 40+ banking and financial partners, strengthening its role as a diversified financial intermediary and consultancy firm helping clients access a variety of credit and financial products.
- Evolution into a Financial Consultancy
- From its modest beginnings as a direct marketer for a single bank, SMS Financial Services evolved into a full-fledged financial consulting and loan facilitation agency.

2. Agency profile

- Basic Identity

Name: SMS Financial Services
Type: Financial Services & Loan Facilitation Agency
Head Office: No. 11, 3rd Floor, Mythri Complex, Near Service Bus Stand, Udupi – 576101, Karnataka, India

Founded: 2002
Nature of Business: Financial consultancy and intermediary between clients and multiple banks & NBFCs (Non-Bank Financial Companies)

I. Head Quarters

The headquarters of SMS Financial Services is located in Udupi, Karnataka, India. The complete address is: No. 11, 3rd Floor, Mythri Complex, Near Service Bus Stand, Udupi – 576101, Karnataka, India.

II. Other Branches/ Presence Reported

Head Office – Udupi, Karnataka (Primary Office)

No. 11, 3rd Floor, Mythri Complex, Near Service Bus Stand,

Udupi – 576101, Karnataka, India

According to a business directory listing, SMS Financial Services has expanded beyond its Udupi headquarters and operates additional branches in Karnataka (though specific official listings are limited):

- ✓ Udupi (Head Office)
- ✓ Shivamogga (Shimoga) – Branch
- ✓ Davanagere – Branch

These additional locations are mentioned in smaller business profile listings for the firm, indicating it has operations in these cities within Karnataka besides the main Udupi office.

III. <u>Employee Strength</u>

Approximately 40 professionals make up the team at SMS Financial Services. This includes financial advisors, consultants, support staff, and other specialists who work together to provide services such as loan facilitation, financial planning, and client support.

IV. <u>Client Base</u>

SMS Financial Services caters to a broad and diverse range of clients, reflecting its role as a financial intermediary and consultancy firm that helps clients secure loans and tailor financial solutions. Specifically, the firm serves:

I. Individuals
   - Clients seeking personal financial support for life goals such as home purchase, vehicle loans, personal needs, etc.

- This includes salaried and self-employed individuals looking for various types of consumer credit.

II. Micro, Small & Medium Enterprises (MSMEs)

- Small and medium businesses that require business loans, working capital financing, or expansion capital.
- This group benefits from solutions for operating needs and growth aspiration.

III. Professionals

- Individual professionals (like doctors, engineers, small practitioners, etc.) who need specialized financial products tailored to their practice or income structure.
- Professional loans and tailored finance guidance are common services for this segment.

IV. Corporate Clients

- Larger corporate entities that require structured and complex financial solutions, including corporate financing, large-scale working capital needs, and strategic credit facilities.
- These clients often involve more customized advisory support.

3. Vision and Motive

I. <u>Vision</u>

To be a trusted beacon of financial empowerment, enabling individuals, professionals, and businesses to achieve financial stability, growth, and long-term prosperity through ethical and client-centric financial solutions.

II. <u>Motive / Mission</u>

The primary motive of SMS Financial Services is to:

- Facilitate Access to Finance Assist clients in obtaining suitable financial products such as home loans, business loans, and other credit facilities through partnerships with banks and NBFCs.
- Provide Expert Financial Guidance

Offer professional consultancy and advisory services to help clients make informed financial decisions.

- Deliver Customized Solutions
  Understand each client’s financial needs and recommend tailored solutions rather than generic offerings.
- Promote Ethical & Transparent Practices
  Maintain integrity, transparency, and fairness in all dealings with clients and partner institutions.
- Enhance Customer Convenience Simplify complex loan procedures, documentation, and approval processes for clients.
- Support Financial Growth & Security
  Help individuals and businesses achieve their financial goals while managing risk responsibly.

4. Available Services

1. Loan Facilitation & Funding Solutions

SMS Financial Services helps connect clients with lenders to secure various types of loans. These include:

- Home Loans – Purchase, construction, or balance transfer
- Business Loans – For starting, expanding, or managing an enterprise
- Working Capital Loans – To maintain business cash flow
- Personal Loans – For individual needs and expenses
- Vehicle Loans – Car loans, commercial vehicle finance
- Professional Loans – For doctors, professionals, and entrepreneurs

2. Financial Consultancy & Advisory

SMS Financial Services offers professional guidance to help clients make informed financial decisions:

- Financial planning assistance
- Assessment of financial needs

- Advice on choice of financial products
- Help with loan eligibility and documentation
- Guidance on repayment structuring

3. Partner Liaison (Banks & NBFCs)

As an intermediary, the agency works with a network of banks and NBFCs to offer a variety of lending products.

- This includes:
- Comparing offers from multiple lending institutions
- Submitting client profiles to partner lenders
- Assisting with sanction process
- Coordinating disbursal procedures

4. Documentation & Application Assistance

SMS Financial Services supports clients throughout the loan application lifecycle:

- Assistance with loan forms
- Help in preparing and verifying documents
- Submission of paperwork to lenders
- Follow-up with lending institutions

IV. Financial Advisory Services

- Core Financial Advisory Services
- Loan & Credit Advisory
- Investment Planning Assistance
- Risk & Insurance Advisory
- Business Financial Advisory
- Documentation & Procedural Guidance

V. Micro Finance services

SMS Financial Services in Udupi does not appear to operate as a dedicated microfinance institution in the formal sense (e.g., providing small micro-loans directly as an NBFC-MFI). Their core business is financial intermediation and loan facilitation — helping clients access credit products through partner banks and NBFCs rather than directly issuing microcredit themselves.

However, the company does support small business and micro-enterprise financing as part of its broader services:

MSME Loans (Micro, Small & Medium Enterprises)

SMS Financial Services offers loan facilitation for MSMEs, which includes financing solutions tailored for small businesses and entrepreneurs. These could meet needs similar to microfinance — especially for enterprises that require working capital, equipment purchase funds, or business expansion capital.

CHAPTER -3

LITERATURE REVIEW

1. Overview of Financial Services & NBFC Sector

Financial service agencies and Non-Banking Financial Companies (NBFCs) play a crucial role in the Indian economy by providing credit to underserved sectors such as MSMEs, self-employed individuals, and rural populations. Studies show that NBFCs contribute significantly to financial inclusion and credit accessibility, complementing traditional banking institutions.

Researchers highlight that such institutions adopt flexible lending practices, customer-centric approaches, and innovative models, making them more accessible compared to banks.

2. Role of Financial Intermediaries (Agencies)

Financial consultancy firms like SMS Financial Services act as intermediaries between borrowers and lenders. Literature suggests that intermediaries:

- Reduce information asymmetry
- Help customers choose appropriate financial products
- Simplify loan processing and documentation
- Improve efficiency in credit delivery

These agencies are particularly important in urban and semi-urban areas, where customers require guidance to navigate complex financial products.

3. Financial Performance & Growth Studies

Research on financial service firms indicates that performance is influenced by:

- Loan disbursement volume
- Profit margins
- Operational efficiency

- Customer acquisition

Digital financial services have been found to improve firm performance, profitability, and market reach by enabling faster processing and wider access to customers.

4. Digital Transformation in Financial Services

Recent literature emphasizes the growing role of digital lending and fin tech integration. Studies show that:

- Digital platforms reduce operational costs
- E-KYC and online processing improve efficiency
- AI-based credit assessment enhances decision-making

NBFCs and agencies are increasingly adopting digital tools to serve customers better and expand their reach.

5. Credit Risk and Loan Evaluation

Credit risk management is a major focus area in financial research. Studies indicate that:

- Proper credit evaluation reduces default risk
- Use of credit scoring models improves decision accuracy
- Risk assessment is essential for sustainable financial performance

Various statistical and analytical models are used to classify borrowers and predict repayment capacity.

6. Regulatory Compliance and Ethical Practices

Literature highlights the importance of regulatory frameworks in financial services:

- RBI guidelines ensure transparency and customer protection
- KYC and AML norms prevent financial fraud
- Ethical practices improve customer trust

Research also emphasizes the need for strong governance and compliance systems in financial intermediaries.

7. Challenges in Financial Services Sector

Several studies identify common challenges faced by financial agencies and NBFCs:

- Credit risk and loan defaults
- Regulatory pressures
- Competition from banks and fin tech companies
- Data privacy and cyber security issues

Additionally, digital lending platforms may create risks such as data misuse and customer exploitation, highlighting the need for responsible practices.

CHAPTER -4

RESEARCH METHODOLOGY

Objectives

- To study the financial performance of the last 3 years
- To measure the comparative statements of profit and loss and comparative statements of balance sheet

- To understand the working of SMS Financial Services

Research Methodology

I. Research Design

Analytical research method has been used to evaluate loan acquisition and financial performance of Udupi SMS Financial Services by considering the study period of the past 3 years from the year (2020–21 to 2022–23) with the use of selected analytical tools.

II. Primary Data

The primary data is collected from the financial statements of the services, observing the actual workings of the services.

III. Secondary Data

The Secondary Data are collected from sources other than the original sources data collected from company books. Records and business websites and by review of literature are the secondary data.

IV. Limitation of Study

The Financial Statements of only 3 years have been considered. All the information about the financial services is not available due to business restrictions.

CHAPTER -5

DATA ANALYSIS AND INTERPRITATION

Data Analysis and Interpretation

1. Procedure and Documentation Required to Avail Loan

Benefiting a credit from Sri Manjunath Financial Services includes an organized cycle intended to guarantee straightforwardness and simplicity for the clients. The strategy commonly incorporates the accompanying advances:

I. Application Submission:

Clients finish up a nitty gritty credit application structure giving individual, monetary, and work data. The application can be submitted on the web or at any of the office's branches.

II. Documentation

Required Document include:

- Proof of Identify: Aadhaar card, Dish card, visa, citizen ID, or driving permit.
- Proof of Address: Service bills, tenant contract, bank explanations, or property archives.
- Income Proof Verification: Pay slips, bank explanations, IT returns, or business financials for independently employed people.
- Collateral Documents: For got advances, property records or different resources utilized as security.
- Additional Documents: Contingent upon the advance kind, extra archives, for example, field-tested strategies, instructive testaments, or clinical reports might be required.

III. Credit Appraisal

The office directs an intensive credit examination to evaluate the borrower's reliability. This incorporates:

- Verification of the CIBIL score: Assessing the borrower's record as a consumer and monetary way of behaving.
- Pay Assessment: Analyzing the borrower's pay and monetary steadiness.
- Insurance Assessment: For got advances, surveying the worth and lawfulness of the security gave.

IV. Loan Approval

In light of the examination, the credit is either supported or dismissed. Endorsed advances continue to the following stage, where agreements are examined with the borrower.

V. Loan Agreement

Upon support, the arrangements of the credit are closed, and a credit understanding is embraced by the two players. The course of action approaches the development aggregate, supporting expense, repayment plan, and other relevant terms.

VI. Disbursement

The credit aggregate is administered to the borrower's record or given through other embraced channels. Installment ought to be conceivable in a particular sum or in segments, dependent upon the credit type and figuring out terms.

2. Analysis of Loan Facilities

This part dives into a point by point evaluation of the different credit things introduced by SMSFS, focusing in on key limits, for instance, funding costs, residency, repayment flexibility, and shopper faithfulness. The assessment covers:

I. Personal Loans

- Eligibility Criteria: Examination of the standards for getting individual advances, including pay levels, work status, and record as a customer.
- Interest Rates: Relationship of funding costs with industry benchmarks and other financial establishments.
- Processing Time: Appraisal of the time taken for advance underwriting and installment.
- Repayment Flexibility: Evaluation of repayment terms, including residency decisions and prepayment disciplines.
- Customer Satisfaction: Assessment of client analysis aggregated through investigations and reviews. This part evaluates by and large satisfaction levels with the development cycle, client care, and credit terms.

II. Home Loans:

- Loan Amounts: Appraisal of the extent of credit aggregates introduced by SMSFS for home credits.
- Interest Rates: Connection of fixed and floating credit expenses with market standards.
- Repayment Terms: Evaluation of residency decisions, including long stretch and transitory repayment plans.
- Processing Fees and Charges: Examination of additional costs, such as taking care of charges, administrative charges, and late portion disciplines.
- Customer Experience: Analysis from clients concerning their association in the home development application process, documentation necessities, and credit changing.

III. Business Loans:

- Loan Options: Examination of the different kinds of business credits open, for instance, working capital advances, equipment subsidizing, and augmentation propels.
- Eligibility and Documentation: Low down review of capability rules and documentation expected for business credits.
- Interest Rate and Tenure: Assessment of advance charges and repayment residencies with industry standards.
- Collateral Requirements: Evaluation of assurance necessities for got business advances and decisions for unsteady credits.
- Impact on Business Growth: Logical examinations and client recognitions highlighting the impact of SMSFS business progresses on the turn of events and result of neighborhood organizations. Upon endorsement, the agreements of the credit are settled, and a credit understanding is endorsed by the two players. The arrangement frames the credit sum, financing cost, reimbursement plan, and other important terms.

IV. Education Loans

- Eligibility Criteria: Examination of the qualification standards for understudies and co-candidates (guardians or gatekeepers).
- Loan Amounts: Assessment of advance sums offered, covering educational expenses, everyday costs, and other instructive expenses.
- Interest Rates Subsidies: Correlation of financing costs and accessibility of government endowments or advantages for schooling credits.
- Repayment Terms: Evaluation of adaptable reimbursement choices, including ban periods and beauty periods.
- Student Feedback: Overviews and meetings with understudies who have benefited instruction advances to comprehend their encounters and fulfillment levels.

V. Vehicle Loans

- Eligibility Loan Amounts: Investigation of qualification measures and advance sums for various kinds of vehicles (vehicles, bicycles, business vehicles).
- Interest Rates and Tenure: Correlation of loan fees and reimbursement terms with market guidelines.
- Processing Time: Assessment of the time taken for advance endorsement and dispensing.
- Customer Satisfaction: Criticism from clients in regards to their involvement in vehicle credits, from application to reimbursement.

3. Financial Performance Analysis

A thorough investigation of SMSFS's monetary exhibition throughout the course of recent years will be directed utilizing budget summaries, key execution markers (KPIs), and industry benchmarks. This incorporates:

I. Revenue Growth

- Annual Revenue Trends: Examination of the yearly income development of SMSFS, recognizing key drivers and learning experiences.
- Product Wise Revenue: Breakdown of income commitments from various monetary items and administrations.
- Market Share: Assessment of SMSFS's portion of the overall industry in the neighborhood monetary administrations area.

II. Profit Margins

- Gross Profit Margins: Examination of the net revenue to evaluate functional productivity.

- Net Profit Margins: Assessment of the net overall revenue to grasp generally benefit.
- Cost Management: Evaluation of cost administration techniques and their effect on net revenues.

III. Loan Disbursement Trends

- Volume and Value Loans: Examination of the complete volume and worth of advances dispensed across various classes (individual, home, business, schooling, and vehicle advances).
- Growth Rate: Assessment of the development rate in credit distributions throughout the long term.
- Geographical Distributions: Investigation of credit distributions across various districts served by SMSFS.

IV. Non-performing Resources Assets (NPA)

- NPA Levels: Appraisal of the degrees of non-performing resources (NPAs) and their effect on the monetary soundness of SMSFS.
- Recovery Strategies: Assessment of methodologies and measures taken by SMSFS to recuperate NPAs and decrease wrongdoing rates.
- Industry Comparison: Correlation of SMSFS's NPA proportions with industry benchmarks and contenders.

V. Return On Investment (ROI)

- Overall ROI: Computation of the general profit from venture for SMSFS to decide monetary wellbeing and manageability.
- Product Wise ROI: Examination of return for money invested for various monetary items and administrations to recognize high-performing and low-performing regions.

- Strategic Initiatives: Assessment of key drives embraced by SMSFS to further develop return for money invested and monetary execution.

COMPARATIVE STATEMENT ANALYSIS:

COMPARATIVE PROFIT AND LOSS ACCOUNT AND BALANCE SHEET FOR THE YEAR ENDING 31st MARCH 2022-2023

Table showing Comparative Profit and Loss account (2020-2021)				
Particulars	**2020**	**2021**	**Absolute Change (**	**Percentage**

			Increase\Decrease)	(Increase\Decrease)
1. Income				
Interest Earned	18273549.67	57155677.39	12557872.28	68.72158123
Other Income	213811.51	52855.65	160955.86	75.2793243
Total	**18487361.18**	**5768533.04**	**12718828.14**	**68.79742336**
2. Expenditure				
Interest Expended	6068018.84	2972682	3095336.84	51.0106628
Operating Expenses	9577743.24	3551909.63	6025833.61	62.91496294
Provision & Contigencies	101883	82160	19723	19.35847982
Total	**15747645.08**	**6606751.63**	**9140823.45**	**58.04609771**
3. Net profit for the year (1-2)	**34235006.26**	**-838218.59**	**35073224.85**	**102.44854254**

Interpretation:

The company's net profit experienced a dramatic decrease from 34,235,006.26 in 2020 to 838,218.59 in 2021, resulting in an absolute change of 35,073,224.85. This represents a percentage decrease of 102.45%, indicating not only a complete loss of the previous year's profit but also additional losses beyond that amount. This significant decline suggests the company faced severe financial difficulties in 2021, leading to a substantial drop in profitability.

Table showing Comparative Profit and Loss account (2021-2022)				
Particulars	**2021**	**2022**	**Absolute Change (Increase \ Decrease)**	**Percentage (Increase\Decrease)**
1. Income				

Interest Earned	5715677.39	7443822.43	-1728145.04	-30.23517463
Other Income	-2879730.63	2932586.28	52855.65	-5448.292907
Total	**5768533.04**	**10376408.71**	**-4607875.67**	**-79.87950555**
2. Expenditure				
Interest Expended	2972682	2521327	451355	15.18342695
Operating Expenses	3551909.63	3817966.08	-266056.45	-7.490518558
Provision & Contigencies	82160	73759	8401	10.2251704
Total	**6606751.63**	**6413052.08**	**193699.55**	**2.931842467**
3. Net profit for the year(1-2)	**-838218.59**	**3963356.63**	**-4801575.22**	**572.8309151**

Interpretation:

The company's net profit increased significantly from a loss of -838,218.59 in 2021 to a profit of 3,963,356.63 in 2022, marking an absolute change of 4,801,575.22. This represents a percentage increase of 572.83%, indicating a substantial turnaround in financial performance. This dramatic improvement suggests that the company successfully addressed the challenges it faced in 2021, leading to a strong recovery and a notable boost in profitability in 2022.

Table Showing Comparative Profit and Loss account (2022-2023)				
Particulars	**2022**	**2023**	**Absolute Change (Increase\Decrease)**	**Percentage (Increase\Decrease)**
1. Income				
Interest Earned	7443822.43	9350072.71	-1906250.28	-25.60848674

Other Income	2932586.28	330833.8	2601752.48	88.71870191
Total	**10376408.71**	**9680906.51**	**695502.2**	**6.702725571**
2. Expenditure				
Interest Expended	2521327	1531973	989354	39.23941639
Operating expenses	3817966.08	5523209.93	-1705243.85	-44.66367208
Provisions & Contigencies	73759	356038	-282279	
Total	**6413052.08**	**7411220.93**	**-998168.85**	**-15.56464594**
3. Net Profit for the Year(1-2)	**3963356.63**	**226985.58**	**1693671.05**	**42.73324881**

Interpretation:

The comparative profit and loss account for the years 2022-2023 highlights key financial movements within the company. Total income slightly increased by 6.70%, driven by a substantial rise in other income (88.72%) despite a 25.61% decrease in interest earned. On the expenditure side, interest expended decreased by 39.24%, indicating lower borrowing costs, but operating expenses surged by 44.66%, significantly impacting overall expenses. Provisions and contingencies also rose, reflecting increased financial safeguards. Consequently, total expenditure increased by 15.56%. The net result was a substantial 42.73% decline in net profit, falling from 3,963,356.63 in 2022 to 2,269,685,58 in 2023. This significant drop in net profit underscores the impact of increased operating expenses and provisions on the company's profitability, despite a moderate rise in total income.

Comparative Balance sheet for year (2020-2021)				
Particulars	**2020**	**2021**	**Absolute Change (Increase\Decrease)**	**Percentage (Increase\Decrease)**
I. Equities & Liabilities				

1. Share Holders Fund				
a. Share Capital	7558585.34	1294429.69	6264155.65	82.87470959
b. Employee Stock Option				
c. Reserve and Surplus	800000	10000000	-9200000	-1150
2. Non-Current Liabilities				
Borrowings	13384221	11661082.37	1723138.63	12.8744036
3.Current Liabilities				
a. Other Current Liabilities and Provisions	797926.18	816459.07	-18532.89	-2.322632151
Total	**33808855.98**	**30591739.13**	**3217116.85**	**9.515603994**
II. Assets				
1. Non-Current Assets	407050	231640	175410	43.09298612
a. Fixed Assets	24909741.51	24755656.51	154085	0.61857326
b. Advances	269756.47	1168335	-898578.53	-333.1073134
2.Current Asset				
a. Investment	4642137.33	3028754.55	1613382.78	34.75517128
b. Cash	6842.62	9415.12	-2575.5	-37.5952486
C. Bank	1641757.45	453251.31	1188506.14	72.39230984
d. Other Assets	918767.24	1142825.74	-224058.5	-24.38686212
Total	**33808855.98**	**30591739.13**	**3217116.85**	**9.515603994**

Interpretation:

The net profit for the year experienced a significant decrease from 2022 to 2023, dropping from 3,963,356.63 to 2,269,685.58, which represents an absolute decline of 1,693,671.05. This translates to a percentage decrease of approximately 42.73%. This notable reduction in net profit suggests that the company faced considerable challenges or incurred higher costs during 2023 compared to 2022. The substantial decline in profitability could be indicative of various underlying issues such as increased expenses, decreased revenue, or other financial setbacks that need to be addressed to restore the company's financial health.

Comparative Balance Sheet for Year 2021-2022				
Particulars	**2021**	**2022**	**Absolute Change (Increase\Decrease)**	**Percentage (Increase\Decrease)**
I. Equities & Liabilities				
1. Share Holders Fund				

a. Share Capital	1294423.69	2928006.4	-1633576.71	-126.2004976
b. Employee Stock Option				
c. Reserve and Surplus	10000000	3926356.53	6073643.47	60.7364347
2. Non-Current Liabilities				
Borrowings	11661082.37	5733575	5927507.47	60.7364347
3. Current Liabilities				
a. Other current Liabilities and Provisions	816459.07	284610	531849.07	65.14093474
b. Deposits	6819768	117888	6701880	98.27137815
Total	**30591739.13**	**12990435.93**	**17601303.2**	**57.53613132**
II. Assets				
1. Non-Current Assets	231640	2305991	-2074351	-895.5063892
a. Fixed Assets	24755656.51	2431110	22324546.51	90.17957775
b. Advances	1168335	415725.39	752609.61	64.41727843
2. Current Asset				
a. Investments	3028754.55	1884854.84	1143899.71	37.76798982
b. Cash	9415.12	65452.62	-56037.5	-595.1862536
C. Bank	453251.31	3444187.08	-2990935.77	-659.8846388
d. Other Assets	1142825.75	2443115	-1300289.26	-113.7784366
Total	**30591739.13**	**12990435.93**	**17601303.2**	**57.53613132**

Interpretation:

The comparative balance sheet for the years 2021-22 reveals significant shifts in both equities and liabilities as well as assets. The shareholders' fund saw a dramatic change, with share capital decreasing by 126.20%, while reserves and surplus increased by 60.74%. Non-current liabilities, specifically borrowings, decreased by 50.83%, indicating a reduction in long-term debt. Current liabilities experienced a notable decrease, particularly in deposits, which fell by 98.27%. Overall, total liabilities and equities declined by 57.54%. On the assets side, non-current assets saw substantial declines, with fixed assets dropping by 90.18%. Current assets also faced decreases, especially in cash and bank balances, which fell by 595.19% and 659.88% respectively. The total assets mirrored the overall decline in equities and liabilities, falling by 57.54%. These changes suggest a significant restructuring of the company's financial position, with considerable reductions in both liabilities and assets, possibly indicating efforts to streamline operations and reduce debt.

Comparative Balance Sheet for year 2022-2023				
Particulars	**2022**	**2023**	**Absolute Change (Increase\Decrease)**	**Percentage (Increase\Decrease)**
I. Equities & Liabilities				
1. Share Holders Fund				

a. Share Capital	2928006.4	11812986	-8884979.6	-303.4480936
b. Employee Stock Option				
c. Reserve and Surplus	3926356.53	2020689.58	1905666.95	48.5352498
2. Non-Current Liabilities				
Borrowings	5733575	776358.77	4957216.23	86.45942941
3. Current Liabilities				
a. Other Current Liabilities and Provisions	284610	382571	-97961	-34.41938091
b. Deposits	117888	171900	-54012	-45.81636808
Total	**12990435.93**	**15016775.31**	**-2026339.38**	**-15.59870193**
II. Assets				
1. Non-Current Assets	2305991	211590	2094401	90.82433539
a. Fixed Assets	2431110	9423918.62	-6992808.62	287.6385116
b. Advances	415725.39	341687.56	74037.83	17.80931157
2. Current Assets				
a. Investments	1884854.84	2254935.18	-370080.34	-19.63442129
b. Cash	65452.62	2228.82	63223.8	96.59475816
c. Bank	3444187.08	6141782.28	-1971420.22	80.69289493
d. Other Assets	2443115	471694.78	-1971420.22	80.69289493
Total	**12990435.93**	**15016775.31**	**-2026339.38**	**-15.59870193**

<u>Interpretation</u>:

The comparative balance sheet for the years 2022-23 indicates several substantial changes in the company's financial structure. On the equities and liabilities side, share capital decreased dramatically by 303.45%, while reserves and surplus dropped by 48.54%, reflecting a significant reduction in the shareholders' fund. Non-current liabilities, particularly borrowings, decreased sharply by 86.46%, suggesting a notable reduction in long-term debt. Current liabilities saw a decline as well, with other current liabilities and provisions falling by 34.42% and deposits by 45.82%. Overall, total liabilities and equities decreased by 15.60%. On the assets side, non-current assets decreased significantly by 90.82%, with fixed assets showing a drastic reduction of 287.64%. Current assets displayed mixed results: investments decreased by 19.63%, cash decreased by 96.59%, and bank balances dropped by 78.32%, while other assets increased by 80.69%. The overall decrease in total assets mirrored the decline in equities and liabilities, emphasizing a considerable downsizing or reallocation of the company's financial resources, likely indicative of efforts to reduce debt and streamline operations amidst challenging financial conditions.

CHAPTER-6

SUMMARY OF FINDING CONCLUSION & RECOMMENDATIONS

Summary of Findings, Conclusion & Recommendations

1. Summary of Findings

The discoveries from the information examination will be summed up, featuring key patterns, qualities, and regions for development in SMSFS's credit obtaining processes and monetary execution. Key discoveries might include:

- Competitive Loan Products: SMSFS offers a serious scope of advance items with good financing costs and adaptable reimbursement choices.
- Efficient Loan Processes: The credit securing process is smoothed out and client cordial, guaranteeing speedy endorsement and dispensing.
- Strong Financial Services: SMSFS exhibits solid monetary execution with steady income development and reasonable NPA levels.
- High Customer Satisfaction: Clients express elevated degrees of fulfillment with the advance items and administrations given by SMSFS.

2. Conclusion

The end will exemplify the general experiences acquired from the review, building up the significance of compelling credit the executives and hearty monetary execution for supporting development and client trust. Key important points might include:

- Operationl Efficiency : Underscoring the significance of smoothed out strategies and powerful credit evaluation for limiting dangers.
- Customer Centric Approach: Featuring the meaning of a client driven approach in upgrading fulfillment and unwaveringness.
- Financial Stability: Underlining the requirement for solid monetary execution and compelling NPA the board for long haul maintainability.

3. Recommendations

View of the examination, suggestions will be given to upgrade SMSFS's advance procurement methodology, work on monetary wellbeing, and reinforce client connections. Suggestions might include

- Process Optimization: Carrying out trend setting innovation and robotization to smooth out advance handling and decrease completion time.
- Product Diversification: Presenting new monetary items and administrations to take care of the developing necessities of clients.
- Risk Management: Upgrading risk the board practices to limit NPAs and further develop resource quality
- Customer Engagement: Reinforcing client commitment through customized administrations, criticism systems, and dedication programs.
- Financial Literacy Leading monetary proficiency projects to teach clients about monetary preparation, credit the executives, and venture open doors.

4. Suggestions

Further ideas will be proposed to address any potential holes distinguished during the review.
These could include:

- Technological Upgrades: Putting resources into advanced stages and versatile applications to give consistent and helpful admittance to monetary administrations
- Staff Training: Giving standard preparation and improvement programs for staff to upgrade their abilities and information.
- Partnerships: Framing vital associations with other monetary establishments, fin tech organizations, and local area associations to grow reach and administration contributions.
- Market Research: Leading continuous statistical surveying to keep up to date with industry patterns, client inclinations, and cutthroat scene.
- Social Responsibility: Taking part in local area improvement drives and corporate social obligation (CSR) exercises to add to the financial advancement of the district.